

Lululemon Athletica

Business Development Dossier

Industry	Retail / Apparel
Revenue	\$11B
Employees	39,000
Ideal Customer Profile Score	81

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name lululemon athletica inc.

Headquarters Vancouver, British Columbia, Canada

Founded 1998

Ownership

Public (NASDAQ: LULU). Notable: Chip Wilson ~4.27%, Elliott Management \$1B+ stake

Footprint

800+ company-operated stores across ~24 countries. Key markets: US, Canada, China, Australia, UK, South Korea. ~40+ franchised locations in Middle East and Europe.

SECTION 1b

Company Overview

Lululemon is a global athletic apparel company known for premium yoga and fitness wear. Founded in Vancouver, the company operates 700+ stores worldwide and has expanded into footwear, accessories, and men's apparel while building a devoted community-driven brand.

SECTION 2

Financial Health & Growth Stage

Understanding Lululemon Athletica's financial position and trajectory is critical to framing any engagement conversation.

Revenue: FY2023 \$9.6B (+18.6%) -> FY2024 \$10.6B (+10.1%) -> FY2025E \$11.0-11.3B (+4-7%). Americas comp sales declined 5% in Q3. International +38%. Gross margin fell from 58.5% to 55.6%; operating margin from 20.5% to 17.0%. Tariff impact ~\$320M in FY2026. Consensus Hold (3 buy, 29 hold, 1 sell). Power of Three x2 (\$12.5B target) at risk.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Meghan Frank - Interim Co-CEO & CFO [PRIORITY TARGET]

20+ years retail (Ross Stores, J.Crew). Overseeing product, merchandising, design during interim.

Outreach rationale: Operational anchor during transition. Controls financial levers. Will evaluate advisory through ROI lens.

Marti Morfitt - Executive Chair [PRIORITY TARGET]

Principal at River Rock Partners. Former CEO of Airborne; President/CEO of CNS Inc.

Outreach rationale: De facto strategic leader during CEO vacuum. Navigating simultaneous Elliott, Wilson, and CEO search

pressures. 18-year institutional credibility.

Additional leadership team members relevant to the engagement:

André Maestrini - Interim Co-CEO & President/CCO

14 years at Adidas in senior global roles. Quadrupled international revenues.

Nikki Neuburger - Chief Brand & Product Activation Officer

14 years at Nike (Global Brand VP); Global Head of Marketing at Uber Eats

Ranju Das - Chief AI & Technology Officer

First CAITO in company history. Newly created role.

Susan Gelinis - Chief People & Culture Officer (SVP)

Rose internally from Sr. VP People & Culture

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Lululemon Athletica operates today and where friction exists.

Organizational Structure

Co-CEO structure (inherently temporary). Rapid C-suite turnover - 4 departures in 12 months. Regional structure consolidated under one CCO (Maestrini).

Culture Signals

Glassdoor 4.0/5.0 (10,300+ reviews). Culture & Values 4.1; Career Opportunities 3.6 (lowest - red flag). Strengths: wellness culture, generous discount, personal development emphasis. Concerns: pressure to 'live and breathe' the brand (some find cult-like); favoritism in promotions; management quality varies by location. 'Operating with more agility' language in restructuring aligns with Team of Teams.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Lululemon Athletica.

1. 2025-12-11 - CEO Calvin McDonald announces departure; interim co-CEO structure; Morfitt elevated to Executive Chair

Leadership vacuum + interim structure creates urgent need for organizational clarity and decision-rights alignment.

2. 2025-12-18 - Elliott Investment Management reveals \$1B+ activist stake; pushes Jane Nielsen as CEO candidate

External pressure on governance. Board must manage activist demands alongside internal transition.

3. 2025-12-29 - Founder Chip Wilson launches proxy fight; nominates 3 directors

Two-front governance battle with competing visions. Multi-stakeholder environment where shared consciousness delivers.

4. 2025-11-01 - President of Americas Celeste Burgoyne departs; Maestrini named President/CCO

Fourth C-suite departure in 12 months. Organizational instability at the top.

5. 2025-06-01 - 150 corporate layoffs; company cites need to 'operate with more agility'

Restructuring + 'agility' framing tailor-made for Team of Teams conversation.

6. 2025-12-11 - Q3 FY2025: gross margin -290 bps; Americas comp -5%; tariff impact escalating

Financial pressure intensifying. Strategic pivot under duress = VUCA environment.

7. 2025-09-01 - Ranju Das appointed first-ever Chief AI & Technology Officer; CIO Julie Averill departs

Technology transformation underway. New leader integrating into org in flux.

SECTION 6

McChrystal Fit Assessment

Every fit signal - rapid disruption, leadership/culture problems masquerading as strategy, hierarchical structure failing, high-stakes consequences. CEO vacancy + co-CEO structure + two-front governance = urgent, time-limited window.

Primary Problem

Cascading leadership crisis (CEO departure, 4 C-suite exits in 12 months, co-CEO interim) + activist investor + founder proxy fight + North America decline + margin erosion + competitive pressure - all at once. Textbook VUCA.

Best McChrystal Capability Fit

Crisis leadership and high-stakes decision-making - board/interim leaders making consequential decisions under extreme pressure. Cross-functional alignment / Team of Teams - co-CEO structure creates decision-rights ambiguity. Leadership development - interim co-CEOs and new CAITO need rapid onboarding.

Likely Objections to Engagement

Don't want more advisory during CEO search
Already work with McKinsey/Bain on strategy
Culture already strong (4.0 Glassdoor)
Budget sensitivity given margin pressure

Competitive Advisory Landscape

McKinsey - likely engaged on strategy/cost optimization [INFERRED]
Korn Ferry - likely involved in CEO search [INFERRED]

Bain - Elliott's playbook often involves Bain

McChrystal differentiator: execution under pressure, not strategy decks

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

- 1. How are you maintaining organizational coherence during the CEO transition - particularly with the co-CEO structure and two different external stakeholders pushing competing visions?**
- 2. With four C-suite departures in twelve months, what's your approach to ensuring the next layer of leadership is ready to carry the organization through - regardless of who the next CEO is?**
- 3. Lululemon talks about wanting to 'operate with more agility' - what does that actually look like for a 39,000-person organization simultaneously scaling internationally while defending its core?**

Recommended Meeting Framing

Frame around 'leading through contested transitions.' The ask: focused 90-day engagement on leadership alignment and decision-rights architecture during CEO search, with option to expand once permanent leadership is in place.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Lululemon Athletica's market positioning to potential McChrystal engagement opportunities.

Brand Value & Competitive Standing: Lululemon is one of the most valuable athletic apparel brands globally, valued at approximately \$20B+ in brand equity (Interbrand/Kantar rankings). The brand commands premium pricing (\$98-\$128 leggings) through community-driven marketing, experiential retail, and a cult-like customer following. Direct competitors Nike, Adidas, and Alo Yoga are investing aggressively to capture Lululemon's premium positioning.

Brand Identity Evolution: Lululemon has evolved from "yoga pants company" to "athletic lifestyle brand" with expansion into men's wear, footwear, and accessories. The "Be Human" campaign and experiential retail strategy signal further evolution toward wellness/lifestyle positioning. However, the brand's North America stagnation suggests the aspirational positioning may be losing relevance with core customers.

Marketing Leadership & Strategy: Nikki Neuburger (Chief Brand & Product Activation Officer) leads brand strategy. The "Dupe Culture" phenomenon - where TikTok influencers promote cheaper alternatives - threatens premium positioning. Lululemon's response has been to lean into community experiences (sweat events, ambassador programs) that competitors can't easily replicate.

Brand Threats: Alo Yoga is capturing the wellness-premium segment that Lululemon pioneered. Nike's direct-to-consumer push competes for athletic lifestyle spend. "Dupe Culture" normalizes buying knockoffs. North America comparable sales declining suggests the brand may have peaked in its core market.

Major Brand Investments: Global expansion (particularly China, where the brand is growing rapidly), men's category, footwear launch, experiential retail concepts, and ambassador/community programs. The Mirror smart fitness acquisition (since written down) was a failed brand extension.

McChrystal Connection: Lululemon's brand depends on a consistent experience across 700+ stores, digital platforms, and community touchpoints - all while navigating a leadership crisis (co-CEO interim structure, 4 C-suite exits, founder proxy fight). When the organization is in chaos, the brand experience degrades at the store level. McChrystal's operating model ensures brand execution remains consistent even during organizational upheaval.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Lululemon Athletica. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Leadership Crisis Stabilization

Four C-suite exits in 12 months, co-CEO interim structure, activist investor (Odey), and founder proxy fight (Chip Wilson) create cascading organizational uncertainty. McChrystal's crisis leadership methodology stabilizes the organization while permanent leadership is established. BCG or McKinsey advise on strategy; McChrystal ensures the organization can execute while the leadership sorts itself out.

Fit Dimension 2: Global-Local Brand Coordination

Lululemon operates 700+ stores across North America, Asia (growing rapidly in China), and Europe - each requiring local adaptation of a global brand experience. The co-CEO structure (one from commercial, one from finance) creates ambiguity about who owns global brand coordination. McChrystal's Team of Teams connects global brand standards with local execution autonomy.

Fit Dimension 3: North America Turnaround + International Growth

The organization must simultaneously fix declining North America comps and accelerate international expansion (especially China). These require different organizational capabilities, investment priorities, and leadership attention. McChrystal's operating model prevents one from cannibalizing the other.

9b. Cumulative Case

Lululemon is a premium brand in organizational crisis - the exact scenario where brand equity erodes fastest

because store-level experience degrades when corporate is distracted by leadership chaos. Signal chain: CEO departure -> 4 C-suite exits -> co-CEO interim -> activist investor -> founder proxy fight -> North America decline -> international growth dependency -> 39,000 employees waiting for direction. Revenue potential: \$500K initial, \$1.5M-\$2M deployment, \$400K ongoing. Total: \$2M-\$3M over 18 months.

9c. Enterprise Issues & Organizational Challenges

1. Co-CEO Structural Ambiguity: Two interim leaders (commercial + finance) must make unified decisions without clear authority hierarchy. Speed of decision-making degrades when every call requires two-leader alignment.
2. C-Suite Exodus Knowledge Loss: Four senior exits in 12 months means institutional knowledge, vendor relationships, and strategic context walked out the door. Remaining leaders must rebuild these capabilities while managing the business.
3. North America Brand Fatigue: Declining comparable sales in the core market suggest the brand experience needs refreshing - but the organizational capacity for innovation is consumed by leadership crisis management.
4. China Execution Risk: The fastest-growing market requires dedicated organizational attention, cultural adaptation, and regulatory navigation. If corporate chaos distracts from China execution, the growth engine stalls.
5. Founder-Board Conflict: Chip Wilson's activist push creates governance complexity that filters down to operational decision-making. Employees don't know whose vision to align behind.
6. Store-Level Brand Consistency: 700+ stores with 39,000 employees depend on consistent corporate direction for training, merchandising, and customer experience. Leadership uncertainty at the top degrades execution at the edge.
7. Competitive Response Gap: While Lululemon manages internal chaos, Alo Yoga, Nike DTC, and others are aggressively capturing market share. Organizational distraction equals competitive vulnerability.

9d. Expected Outcomes

1. Leadership Transition Stabilization: Operating rhythm that maintains organizational momentum through co-CEO period and permanent CEO search. Measurable: strategic initiative velocity maintained within 10% of pre-crisis baseline.
2. Store Experience Consistency: Brand execution framework ensuring 700+ stores deliver consistent experience despite corporate uncertainty. Measurable: mystery shopper scores maintained or improved.
3. North America-International Coordination: Dual-market operating model preventing resource competition. Measurable: both North America turnaround and China growth targets on-track.
4. Crisis Communication Architecture: Information flow system keeping 39,000 employees aligned during leadership transition. Measurable: employee engagement scores stabilized within 6 months.
5. Decision Speed Recovery: Governance framework enabling rapid decisions under co-CEO structure. Measurable: strategic decision cycle time reduced to pre-crisis levels.

9e. Key Stakeholders & Business Unit Map

Co-CEO (Commercial)

Leader: André Maestrini, President/CCO

Function: Revenue, brand, product

McChrystal Relevance: Priority: Brand execution during crisis

Co-CEO (Finance)

Leader: Meghan Frank, CFO

Function: Finance, operations, strategy

McChrystal Relevance: Executive sponsor

Executive Chair

Leader: Marti Morfitt

Function: Board governance, CEO search

McChrystal Relevance: Board introduction vector

Brand & Product

Leader: Nikki Neuburger, Chief Brand Officer

Function: Brand strategy, marketing

McChrystal Relevance: Brand consistency challenge

Technology & AI

Leader: Ranju Das, Chief AI/Tech Officer

Function: Digital, data, innovation

McChrystal Relevance: Digital experience coordination

People & Culture

Leader: Susan Gelinas, SVP

Function: Culture, talent, change management

McChrystal Relevance: Priority: 39,000 employee alignment

International (China)

Leader: [Regional President]

Function: Fastest-growing market

McChrystal Relevance: Growth protection during crisis

9f. Opportunity Thesis

Strategic Signal Convergence - Why Now: CEO departure -> 4 C-suite exits -> co-CEO interim -> activist investor -> founder proxy fight -> North America decline -> all converging in a 6-month window. The organizational crisis is acute. Every week without structured coordination degrades brand equity further.

The Structural Paradox - Why McChrystal, Not McKinsey: McKinsey advises on brand strategy and market positioning. Korn Ferry helps with CEO search and leadership assessment. But neither stabilizes an organization during a cascading leadership crisis. McChrystal's crisis leadership and organizational stabilization - proven in actual crises where the mission couldn't stop - is the unique capability.

Phased Engagement: Phase 1 (\$400K-\$500K): Crisis stabilization - operating rhythm for co-CEO structure, store-level brand consistency framework. Phase 2 (\$800K-\$1.2M): North America turnaround + international growth coordination. Phase 3 (\$400K retainer): CEO transition support and organizational redesign.

Multi-Threaded Pursuit Map:

- Thread 1: Susan Gelinas (SVP People & Culture) - organizational alignment during crisis. Angle: "How are you keeping 39,000 employees focused when the leadership picture changes every month?"
- Thread 2: André Maestrini (Co-CEO) - brand execution. Angle: "How do you maintain the in-store experience that defines Lululemon when corporate is navigating this much change?"
- Thread 3: Marti Morfitt (Executive Chair) - board-level introduction. McChrystal's crisis leadership credentials are relevant at the governance level.